

COVER SHEET

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(Company's Full Name)

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| Contact Person            |  |  |  |  |  |  |  |  |  |  |  |  |  |  | Company Telephone Number |  |  |  |  |  |  |  |  |  |  |  |  |  |  |

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Secondary License Type, if Applicable

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| 266                       |  |  |  |  |  |  |  |  |  | Total Amount of Borrowings |  |  |  |  |  |  |  |  |  |         |  |  |  |  |  |  |  |  |  |
| Total No. of Stockholders |  |  |  |  |  |  |  |  |  | P 15,477,823,713           |  |  |  |  |  |  |  |  |  |         |  |  |  |  |  |  |  |  |  |
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To be accomplished by SEC Personnel concerned

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SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q  
QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES  
REGULATION CODE AND SRC RULE 17(2) (b) THEREUNDER

1. For the quarterly period ended **September 30, 2025**
2. Commission identification number **44852**
3. BIR Tax Identification No. **000-421-957-000**
4. **D&L INDUSTRIES, INC.**  
Exact name of issuer as specified in its charter
5. **Metro Manila, Philippines**  
Province, country or other jurisdiction of incorporation or organization
6. Industry Classification Code:  (SEC Use Only)
7. **65 Calle Industria, Bagumbayan, Q.C.** **1110**  
Address of issuer's principal office Postal Code
8. **(02) 8635 0680**  
Issuer's telephone number, including area code
9. **Not applicable**  
Former name, former address and former fiscal year, if changed since last report
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

|                                                    |                                                      |
|----------------------------------------------------|------------------------------------------------------|
| Title of Each Class                                | <b>Common Stock, P1 par value</b>                    |
| No. of Shares of Common Stock Issued & Outstanding | <b>7,142,857,990 Shares as of September 30, 2025</b> |
| Amount of Debt Outstanding                         | <b>P25,010,021,407 as of September 30, 2025</b>      |

11. Are any or all of the securities listed on a Stock Exchange?

Yes ☒ No ☐

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

**Philippine Stock Exchange; A total of 7,142,857,990 shares of common stock with par value of P1.00 each.**

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes ☒ No ☐

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐

## PART I-FINANCIAL INFORMATION

### Item 1. Financial Statements.

The unaudited interim consolidated financial statements of D&L Industries, Inc. and its wholly-owned subsidiaries Oleo-Fats, Incorporated, First in Colours, Incorporated, D&L Polymer and Colours, Inc., Chemrez Technologies, Inc., Chemrez Product Solution Inc., Aero-Pack Industries, Inc., Natura Aeropack Corporation, D&L Premium Foods Corp., and Chemrez Technologies LLC (collectively, the “Company”) for the **nine months ended September 30, 2025** and the comparative period in 2024 is attached to this 17-Q report, comprising of the following:

- 1.1 Consolidated Statement of Financial Position as at September 30, 2025 and December 31, 2024 (Annex A)
- 1.2 Consolidated Statements of Total Comprehensive Income for the period ended September 30, 2025 and September 30, 2024 (Annex B)
- 1.3 Consolidated Statements of Cash Flows for the period ended September 30, 2025 and September 30, 2024 (Annex C)
- 1.4 Consolidated Statements of Changes in Shareholders’ Equity for period ended September 30, 2025 and September 30, 2024 (Annex D)
- 1.5 Segment Revenue and Income Information for the period ended September 30, 2025 and September 30, 2024 (Annex E)
- 1.6 Other Segment Information as at September 30, 2025 and December 31, 2024 and for the period ended September 30, 2025 and September 30, 2024 (Annex F)
- 1.7 Aging of Receivables at September 30, 2025 and December 31, 2024 (Annex G)

The foregoing unaudited interim consolidated financial statements were approved by the Audit Committee and the Board of Directors in their respective meetings held last November 04, 2025.

### Item 2. Management’s Discussion and Analysis of Financial Condition and Results of Operations (Based on the Unaudited Consolidated Results for the Period Ended September 30, 2025)

#### ***Business Overview***

The Company is the holding company for a group of companies with interests in the customization, development, and manufacturing of food ingredients (Oleo-Fats, Incorporated and D&L Premium Foods Corp.), oleochemicals, resins, and powder coating (Chemrez Technologies, Inc., Natura Aeropack Corporation and Chemrez Technologies LLC, colorants, additives, and engineered polymers for plastics (D&L Polymer and Colours, Inc., and First in Colours, Inc.) as well as the manufacturing of consumer products for personal and home care and other applications (Aero-Pack Industries, Inc. and Natura Aeropack Corporation). The Company’s registered office address and principal place of business is 65 Calle Industria Brgy. Bagumbayan, Quezon City.

The Company is a publicly-listed company, which was officially listed in the Philippine Stock Exchange (PSE) on December 12, 2012. As of September 30, 2025, the Company is 63%-owned by Jadel Holdings Co., Inc. (JHI) and 11% directly owned by the Lao family. The public holds the remaining 26% of the shares outstanding.

D&L’s major subsidiaries are as follows:

- *Food ingredients* – The Company, operating through its subsidiary Oleo-Fats, Incorporated (OFI) and through D&L Premium Foods Corp. (DLPF), manufactures a line of bulk and specialty fats and oils, culinary and other specialty food ingredients. The Company contract manufactures and provides food ingredient products to most of the leading food manufacturers and quick-service restaurant chains in the Philippines, and also produces food safety solutions such as cleaning and sanitation agents for various customers.
- *Oleochemicals, resins and powder coatings* – The Company, through Chemrez Technologies, Inc.

(CTI) and its subsidiaries Chemrez Product Solutions, Inc. (CPSI) and Chemrez Technologies LLC (CT LLC), and through Natura Aeropack Corporation (NAC), focus on developing, manufacturing, and supplying high value customized resins, oleochemicals, and specialty products that are sustainable and cost-efficient, while enabling customers to build bigger markets. Its customer base includes many industries such as biofuels, personal and home care, health and nutrition, and construction industries. CTI, CPSI and NAC serve local and international customers.

- *Colorants and plastics additives* – The Company, operating through its subsidiaries First in Colours, Inc. (FIC) and D&L Polymer and Colours, Inc. (DLPC), develops and manufactures innovative plastic solutions that make plastics aesthetically appealing, functional, and sustainable. The group's products are mainly classified as plastic colorants, additive masterbatches, and engineered polymers. Plastic colorants give plastics precise coloring and special effects mainly used for brand and product identification. Additive masterbatches add functional features to plastics such as higher processability, antimicrobial properties, and anti-static properties. Meanwhile, engineered polymers are plastic compounds that have improved mechanical and thermal properties that make them ideal for films, bottles, furniture, appliances, electronic and automotive parts, etc. Lastly, the group offers sustainable options such as compostable plastics, biodegradable plastics, bio-based plastics, recycled compounds, and upcycled materials.
- *Consumer Products ODM* – The Company, operating through its subsidiary Aero-Pack Industries, Inc., and through Natura Aeropack Corporation (NAC), is a full original design manufacturer (ODM) and original equipment manufacturer (OEM) that offers customized aerosols and non-aerosols products to other businesses across different industries such as home care, personal care, and maintenance chemicals. The Company offers a full turnkey solution from product formulation to design, packaging, production, and delivery to customers. It is the first and the biggest aerosol manufacturing company in the Philippines with almost all of its sales coming from the domestic market.

## ***Results of Operations***

*For nine months ended September 30, 2025 versus September 30, 2024*

- D&L Industries' recurring income reached P1.95 billion, or earnings per share (EPS) of P0.273, in the first nine months of 2025 (9M25). This is higher by 8% year-on-year (YoY). Meanwhile, in the third quarter of 2025 (3Q25), recurring income reached P554 million or EPS of P0.078, higher by 12% YoY. The growth in earnings was mainly driven by the resilient volume growth amidst elevated coconut oil prices.
- Coconut oil, a key raw material for the company, saw its average price surge by 78% year-on-year during the period. In the third quarter alone, prices reached a new all-time high of nearly USD 3,000 per metric ton—almost triple the lows recorded in 2023. This unprecedented increase in coconut oil prices weighed on the company's overall blended margins, which declined by 3.2 ppts in 9M25. While prices have since corrected by about 17% from their recent peak, they remain elevated by historical standards. D&L expects margins to fully recover once commodity prices begin to normalize.
- Despite the challenging cost environment, overall volume growth remained resilient. In 9M25, total volume rose 11% year-on-year, supported by both high-margin specialty products (HMSP) and commodities. As margins normalize, the underlying strength of the business—underpinned by healthy volume growth—is expected to translate more visibly into earnings.

- The export business continued to perform strongly, with revenues up 20% YoY to P11 bn in the first nine months of 2025. Export gross profit rose by 22% YoY in 9M25, outpacing the 8% YoY growth recorded in the domestic business.
- Exports remain a key growth driver for the company despite global uncertainties, including the recent implementation of new U.S. tariffs. D&L does not expect a material impact from these higher tariffs, as the U.S. accounts for only around 3% of total revenues. Moreover, most of the company's U.S. exports are specialty products valued for their unique technical and functional attributes.
- To further expand its exports business, D&L is actively exploring new markets and applications where coconut oil's natural and sustainable profile offers a competitive edge. The company continues to invest in research and development to drive innovation in high-margin specialty oleochemicals and functional ingredients derived from coconut oil. These products, designed for niche applications, are less sensitive to commodity price fluctuations and allow D&L to sustain superior margins.
- In 9M25, exports accounted for 27% of total revenues. Management remains focused on raising this share to 50% over the medium term.

|                            | <b>FY20</b> | <b>FY21</b> | <b>FY22</b> | <b>FY23</b> | <b>FY24</b> | <b>9M24</b> | <b>9M25</b> |
|----------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| export as % of total sales | 29%         | 33%         | 31%         | 27%         | 30%         | 31%         | 27%         |

- Gross profit for the first nine months of the year increased by 12% to P5.3 billion from P4.7billion from the same period last year.
- Operating expenses were higher by 20% YoY for the period mainly due to higher delivery charges which are directly related to the increased volume for the period.
- The Company booked other operating income of P2 million in the first nine months of the year.
- Finance costs increased by 47% YoY to P962 million from P652 million mainly due to higher debt levels and higher effective interest rate compared to the same period last year.
- Income tax expense was lower by 48% YoY at P281 million due to the income tax holiday relating to the new plant in Batangas.
- The Company's balance sheet remains solid despite elevated capex in recent years and the impact of higher commodity prices, which increased working capital requirements. As of end-September 2025, interest coverage remained comfortable at 3x, while net gearing stood at 99%. The average cost of debt edged lower to 6.15% from 6.29% at end-2024.
- With inflation easing and the Bangko Sentral ng Pilipinas maintaining a dovish policy stance, the Company sees room for further reductions in borrowing costs in 2025. As commodity prices normalize, management also expects a gradual deleveraging of the balance sheet.
- Capex is expected to stay modest following the completion of the Batangas plant. Capex reached P568 mn in 9M25. On an annualized basis, this is expected to result in full-year capex of less than P1 bn.
- From a free cash flow perspective, the Company continued to show steady improvement, with free cash flow at -P969 million in 9M25 from -P3.4 billion in 1Q25. This trajectory is expected to further improve as coconut oil prices ease. Likewise, the cash conversion cycle shortened to 117 days in 9M25 from 131 days in 1Q25, reflecting enhanced working capital efficiency.

The improvement in the cash conversion cycle was largely driven by inventory days dropping to 82 days from 91 days, and accounts receivable days improving to 46 days from 50 days over the same period.

### ***Segment Operations***

- The unprecedented surge in commodity prices weighed on the **Food Ingredients segment**, which recorded a 66% YoY decline in earnings for the period. Nonetheless, the segment's underlying strength remains evident, with total volumes up 7% YoY—driven primarily by robust 22% YoY growth in the High Margin Specialty Products (HMSP) segment. While 2025 has presented challenges, the outlook for the Food Ingredients group remains positive. Margins are expected to recover as coconut oil prices stabilize, supported by the Company's intensified focus on expanding its HMSP portfolio—offering customized, higher-value solutions that are more resilient to commodity price volatility.
- **Chemrez** delivered strong results in 9M25, with volumes increasing by 30% and net income rising 88% year-on-year. Growth was supported by sustained global demand for coconut oil-derived products and the implementation of the higher mandated biodiesel blend from 2% to 3% effective October 1, 2024. Although the government has deferred the planned increase in the biodiesel blend to 4%, Chemrez remains optimistic on its medium-term outlook, particularly in the export market. The Company continues to pursue new market opportunities and product applications that expand its portfolio and enhance its technical capabilities. With the Batangas plant now fully operational, Chemrez is well-positioned to serve a broader international customer base and deliver higher value-added, sustainable solutions.
- Building on a strong 32% increase in net income in 9M24, the **specialty plastics segment** continued to deliver positive results with earnings up 2% YoY in 9M25. The segment remains well-positioned for sustained growth, driven by continued R&D investments and the Company's commitment to developing innovative, sustainable plastic solutions that cater to evolving customer needs.
- With the **Batangas plant** ramping up, the Consumer Products ODM division sustained strong momentum, posting a 50% YoY increase in earnings for the period. The Company expects growth to continue as easing inflation boosts demand for consumer discretionary products under this segment. Exports have also emerged as a solid new growth driver, now accounting for 12% of total sales from virtually zero six years ago. Management remains optimistic that export contribution will continue to rise over the long term as the Company strengthens its global footprint.

### **Key Performance Indicators**

|                                  | <b>For the period end<br/>September 30, 2025</b> | <b>For the period end<br/>September 30, 2024</b> |
|----------------------------------|--------------------------------------------------|--------------------------------------------------|
| Gross profit margin <sup>a</sup> | 12.9%                                            | 16.1%                                            |
| Net profit margin <sup>b</sup>   | 4.7%                                             | 6.1%                                             |
| Interest cover <sup>c</sup>      | 3x                                               | 5x                                               |
| Return on Equity <sup>d</sup>    | 11.7%                                            | 11.4%                                            |

|                                       | <b>As of end<br/>September 30, 2025</b> | <b>As of end<br/>December 31, 2024</b> |
|---------------------------------------|-----------------------------------------|----------------------------------------|
| Net debt to equity ratio <sup>e</sup> | 99%                                     | 84%                                    |
| Asset-to-Equity ratio <sup>f</sup>    | 2.36                                    | 2.22                                   |
| Current ratio <sup>g</sup>            | 1.26                                    | 1.25                                   |
| Book Value per share <sup>h</sup>     | 3.11                                    | 3.05                                   |

<sup>a</sup> Gross Profit / Revenues

<sup>b</sup> Net Profit available to owners of the Parent company / Revenues

<sup>c</sup> Earnings before interest and taxes / Finance costs

<sup>d</sup> Annualized Net Income available to owners of the Parent Company / Shareholders' Equity

<sup>e</sup> (Borrowings - Cash) / Shareholders' Equity

<sup>f</sup> Total Assets/ Total equity

<sup>g</sup> Current Assets / Current Liabilities

<sup>h</sup> Shareholders' Equity (available to owners of the Parent) / outstanding number of common shares

### **Financial Condition**

*Period ended September 30, 2025 versus Period ended December 31, 2024*

- The company remains in a good liquidity position as current ratio stood at 1.26x as of end September 2025.
- Cash increased by P176 million to P3.0 billion.
- Receivables increased by 14% during the period to P9.2 billion from P8.1 billion. Meanwhile, average account receivable days stood at 46 days vs 53 days in FY24.
- Inventories increased by 8% during the period to P12.2 billion. Average days in inventory stood at 82 days vs 107 days in FY24.
- Net debt to equity ratio stood at 99%. Borrowings stood at P25 billion.
- Total equity increased by P 429 million to P22.2 billion largely due to dividends paid during the period.
- With the unprecedented increase in coconut oil prices for the period, the company generated negative cash flows from operations with cash flows from financing activities mainly funding the increase in working capital requirements.
  - Net cash used in operating activities amounted to P539 million.
  - Net cash used in investing activities amounted to P423 million.
  - Net cash generated by financing activities amounted to P1.2 billion, which mainly came from borrowings.

## **D&L's Plan of Operation for 2025**

With steady and consistent ramp up in operations, the new plant in Batangas turned profitable in 2024. This is ahead of the initial schedule of within two years of operations which was based on the performance of the older plants that the company had built over the years.

The promising results of operations of the new plant gives the company the confidence that, over time, its industry leading facilities will continue to play an increasingly significant role in boosting its overall net income. While it is still possible to see quarterly swings in profitability given the early stages of operations - going forward, the company expects Batangas to start contributing consistently to its bottom line. D&L believes that it has only just begun to tap into the plant's potential given the vast opportunities the company sees in both local and international markets

As such for 2025, the company remains focused on further increasing the utilization of its Batangas plant. With new capacity and capabilities to offer, D&L remains committed to achieving its medium-term goals of further increasing the share of its high margin business as well as increasing export revenue contribution to 50% of total revenues.

In line with its advocacy to champion Green Chemistry, the company continues to invest in developing products that are sustainable and more environmentally friendly. With coconut oil continuing to gain traction globally as a sustainable, natural, and organic substitute to many petroleum-based raw materials, D&L plans to further capitalize on this by entering more export markets and by using its R&D expertise to introduce more highly specialized, coconut-oil based products. In addition, the company is also doing a lot of work in developing an alternative to plastics that is equally durable and cost-competitive but is renewable, sustainable, and made from indigenous materials.

## **Basis of preparation**

The principal accounting policies adopted in the preparation of these condensed consolidated interim financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

This condensed consolidated interim financial statements for the nine-month period ended September 30, 2025 has been prepared in accordance with Philippines Accounting Standard (PAS) 34 Interim Financial Reporting.

The condensed consolidated interim financial statements do not include all the notes normally included in annual financial statements. Accordingly, this report is to be read in conjunction with the annual financial statements for the year ended December 31, 2024 and any public announcements made by the Company during the three-month period.

The accounting policies adopted are consistent with those of the previous financial year and corresponding interim reporting period, except for the estimation of income tax.

There are no new accounting standards or amendments effective January 1, 2025 that have a material impact on these condensed consolidated interim financial statements.

There are no other future standards, amendments or interpretations that are effective beginning on or after January 1, 2025 that are expected to have a material impact on the Company's financial statements.

## **Selected Notes to the Interim Consolidated Financial Statements**

*In compliance with the requirements of the Securities Regulations Code*

1. The same accounting policies and methods of computation were followed in the interim consolidated financial statements consistent with those adopted for the Company's annual consolidated financial statements for the year ended December 31, 2024.



2. Interim operations do not follow any particular seasonal or cyclical pattern. Except as discussed in the foregoing, demand for the Company's products have been historically fairly constant throughout the previous years.
3. Fixed asset additions during the periods pertain to the additional fixed asset requirements as part of the normal operations of the business.
4. There were no items not in the ordinary course of business that affected assets, liabilities, equity, net income, or cash flows that are unusual because of their nature, size, or incidence.
5. There were no changes in estimates of amounts reported in prior interim periods of financial years prior to the commencement of results reporting on a consolidated basis.
6. There were no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Company with unconsolidated entities or other persons created subsequent to the end of the interim period that have not been reflected in the financial statements for the period.
7. There were no changes in contingent liabilities or contingent assets since the last annual balance sheet date.
8. Other than what has been disclosed in the foregoing report, there are no existing material contingencies, events or transactions that are material to an understanding of the current interim period.
9. There are no events other than those already disclosed that will trigger direct or contingent financial obligations that are material to the Company, including any default or acceleration of an obligation.
10. There are no trends, demands, commitments, events or uncertainties known to management that will have a material adverse impact on the Company's liquidity.
11. There are currently no material commitments for capital expenditures except as already disclosed.
12. The Company is not aware of any trend, event or transaction that would have a material impact on its results of operations or on its financial condition except as already disclosed.
13. Aside from interest earnings from the Company's cash deposits, there are no significant elements of income or loss that did not arise from the issuer's continuing operations.
14. Any material changes from period to period in any line items of the Company's financial statements that have not been explained in the **Management's Discussion and Analysis** section of this report were the results of normal fluctuations in operations.
15. The interim consolidated financial statements have been prepared in conformity with Philippine Financial Reporting Standards and reflect amounts that are based on the best estimates and informed judgment of management with an appropriate consideration to materiality.

## **Additional Disclosures on Risk Management and Financial Instruments**

### **1. Financial risk factors**

The Company's activities expose it to a variety of financial risks and these activities involve the analysis, evaluation and management of some degree of risk or combination of risks. The Company's overall risk management program focuses on the unpredictability of financial markets, aims to achieve

an appropriate balance between risk and return and seeks to minimize potential adverse effects on the Company's financial performance.

Risk management is led by the Chief Risk Officer and overseen by the Board of Directors.

The most important types of risk the Company manages are: credit risk, market risk and liquidity risk. Market risk includes foreign currency exchange, price and interest risks.

## 2. Components of financial assets and liabilities by category

### 2.1 Financial assets

Details of the Company's financial assets are as follows:

|                                           | September 30, 2025<br>(Unaudited) | December 31, 2024<br>(Audited) |
|-------------------------------------------|-----------------------------------|--------------------------------|
| <i>Financial assets at amortized cost</i> |                                   |                                |
| Cash and cash equivalents                 | 2,957,712,230                     | 2,837,928,092                  |
| Receivables, gross                        | 9,356,274,440                     | 8,226,452,590                  |
| Due from related parties                  | 281,452,681                       | 158,571,168                    |
| Refundable deposits                       | 311,636,603                       | 424,584,746                    |
|                                           | 12,907,075,954                    | 11,642,194,400                 |
| <i>Financial assets at FVPL</i>           | 47,837,351                        | 39,958,426                     |
| <i>Financial assets at FVOCI</i>          | 343,066,891                       | 343,066,891                    |
|                                           | 13,297,980,196                    | 12,052,219,717                 |

Receivables are presented gross of allowance for impairment as at September 30, 2025 amounting to P140,028,249 (December 31, 2024 - 168,826,389).

The other components of other current and noncurrent assets are considered non-financial assets which include deposits to suppliers, input VAT, creditable withholding taxes and prepayments.

The carrying amounts of financial assets at amortized cost approximate their fair values (Level 1) as the impact of discounting is not considered significant. Financial assets at FVPL and FVOCI are measured at quoted prices (Level 1). Investments in FVPL include investments in open-ended unit investment trust funds that are redeemable anytime and reports daily net asset value.

### 2.1 Financial liabilities

Details of the Company's financial liabilities, categorized as other financial liabilities at amortized cost at September 30, 2025 and at December 31, 2024 are as follows:

|                                      | September 30, 2025<br>(Unaudited) | December 31, 2024<br>(Audited) |
|--------------------------------------|-----------------------------------|--------------------------------|
| Trade payables and other liabilities | 4,090,717,433                     | 4,354,173,545                  |
| Dividends Payable                    | -                                 | -                              |
| Due to related parties               | 45,702,479                        | 39,417,257                     |
| Lease liabilities                    | 688,758,892                       | 821,822,597                    |
| Bonds Payable                        | 1,993,334,842                     | 1,990,780,368                  |

|            |                |                |
|------------|----------------|----------------|
| Borrowings | 23,016,686,565 | 19,099,487,284 |
|            | 29,835,200,211 | 26,305,681,051 |

Trade payables and other liabilities exclude amounts due to regulatory agencies and advances from customers as at September 30, 2025 amounting to P79,255,557 and P56,875 (December 31, 2024 - P121,250,723 and P69,329, respectively).

The carrying amounts of financial liabilities at amortized cost approximate their fair values (Level 2) due to their short-term nature and/or the impact of discounting is not considered significant.

As at December 31, 2024, estimated fair value (Level 2) of the lease liabilities and bonds payable as it approximates its carrying amount as it carries market interest rate ranging from 5.75% to 6.5%.

### 3. Credit Risk

The Company's exposure to credit risk arises primarily from financial assets at amortized cost and financial assets at FVTPL.

The Company has prudent credit policies to ensure that sales of its products are made to customers with good credit history. The senior management team, product group heads and the respective sales team perform credit evaluation and monthly review of outstanding receivables as part of the regular performance assessment process. All significant receivables from key customers are monitored for collectability and actual settlement performance, and specific action plans are required for any material overdue amounts from all categories of customers.

The Company's financial assets that are subject to the expected credit loss model are as follows:

|                                    | September 30, 2025<br>(Unaudited) | December 31, 2024<br>(Audited) | Basis for recognition<br>of ECL |
|------------------------------------|-----------------------------------|--------------------------------|---------------------------------|
| Financial assets at amortized cost |                                   |                                |                                 |
| Cash and cash equivalents          | 2,956,651,016                     | 2,740,624,111                  | 12-month ECL                    |
| Trade and other receivables        | 9,356,274,440                     | 8,221,503,860                  | Lifetime ECL                    |
| Due from related parties           | 281,452,681                       | 158,571,168                    | 12-month ECL                    |
| Refundable deposits                | 311,636,603                       | 424,584,746                    | 12-month ECL                    |
| Financial assets at FVTPL          | 47,837,351                        | 39,958,426                     | Marked to market                |
|                                    | 12,953,852,091                    | 11,579,900,115                 |                                 |

Cash and cash equivalents exclude cash on hand amounting to P1,061,214 as at September 30, 2025 which is not subject to credit risk.

The maximum exposure to credit risk at the reporting date is the carrying value of financial assets summarized above.

None of the financial assets that are fully performing has been renegotiated as at September 30, 2025 and December 31, 2024.

The Group does not hold any collateral as security to the above financial assets.

### *Cash in bank*

Credit risk exposure arising from cash in bank arises from default of the counterparty, with a maximum exposure equal to the fair value of the financial asset. To minimize credit risk exposure, the Group deposits its cash in banks with good credit ratings.

Cash deposited in these banks are as follows:

|                 | September 30, 2025<br>(Unaudited) | December 31, 2024<br>(Audited) |
|-----------------|-----------------------------------|--------------------------------|
| Universal banks | 2,952,403,625                     | 2,734,384,410                  |
| Thrift banks    | 4,247,391                         | -                              |
|                 | 2,956,651,016                     | 2,734,384,410                  |

While cash in banks are also subject to requirements of PFRS 9, expected credit loss is considered not significant. The Group does not hold any collateral as security to the above financial assets.

### *Due from related parties*

Due from related parties pertain to amounts receivable for sale of inventories and services to related parties. These are non-interest bearing and are collectible generally within 30 to 60 days after transaction date. Due from related parties are fully recoverable. Management does not foresee significant credit risk on the outstanding balances of due from related parties as these are transacted with related parties with strong financial and liquidity positions.

### *Trade and other receivables*

#### *i) Trade receivables*

The Company applies the PFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for trade receivables arising from sale of goods and services to third parties. To measure the expected credit losses, receivables have been grouped based on shared credit risk characteristics and the historical collection cycle.

The expected loss rates are based on the payment profiles of counterparties over a period of 36 months and the corresponding historical credit losses experienced within this period.

The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

The Company has identified the Gross Domestic Product (GDP) and the Inflation Rates to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

On that basis, the loss allowance as at period end was determined as follows:

| September 30, 2025                        | Low Risk      | Moderate Risk | Impaired | Total         |
|-------------------------------------------|---------------|---------------|----------|---------------|
| Expected loss rate                        | 1.56%         | 1.30%         | -        | 1.50%         |
| Gross carrying amount - trade receivables | 7,073,238,649 | 2,283,035,791 | -        | 9,356,274,440 |
| Less allowance                            | (110,455,405) | (29,572,844)  | -        | (140,028,249) |
| Net receivables                           | 6,962,783,244 | 2,253,462,947 | -        | 9,216,246,191 |

| December 31, 2024                        | Low Risk      | Moderate Risk | Impaired    | Total         |
|------------------------------------------|---------------|---------------|-------------|---------------|
| Expected loss rate                       | 1.57%         | 7.54%         | 20.86%      | 2.05%         |
| Gross carrying amount -trade receivables | 7,625,704,392 | 563,908,567   | 31,890,901  | 8,221,503,860 |
| Loss allowance                           | (119,672,080) | (42,501,351)  | (6,652,958) | (168,826,389) |
| Net receivables                          | 7,506,032,312 | 521,407,216   | 25,237,943  | 8,047,370,980 |

Trade receivables from its five major customers per segment as at September 30, 2025 and December 31, 2024 are as follows:

| September 30, 2025 (Unaudited) | Carrying amount | Neither past due nor impaired | Past due but not impaired |              |              |                      |
|--------------------------------|-----------------|-------------------------------|---------------------------|--------------|--------------|----------------------|
|                                |                 |                               | 31 - 60 days              | 61 - 90 days | Over 90 days | Overdue and impaired |
| TOP 5                          | 4,813,016,754   | 2,652,975,833                 | 1,295,568,979             | 352,962,373  | 511,509,570  |                      |

  

| December 31, 2024 (Audited) | Carrying amount | Neither past due nor impaired | Past due but not impaired |              |              |                      |
|-----------------------------|-----------------|-------------------------------|---------------------------|--------------|--------------|----------------------|
|                             |                 |                               | 31 - 60 days              | 61 - 90 days | Over 90 days | Overdue and impaired |
| TOP 5                       | 2,006,531,840   |                               |                           |              |              |                      |

#### ii) Other receivables

Other receivables include loans to officers and employees amounting to P3,107,793 (2024 - P3,615,918). To address credit risk, these advances are subject to liquidation and/or collectible through salary deduction.

#### Refundable deposits

This account pertains to security deposits on properties leased by the Company. Security deposits are generally refundable at the end of the lease term. Management does not expect significant credit risk on these deposits.

#### Financial assets measured at FVPL

The Company's investments in debt instruments are considered to have low credit risk. Management considers 'low credit risk' for unit investment trust funds, as they are managed by universal banks with good credit ratings.

## 4. Market Risk

### 4.1 Foreign currency exchange risk

The Company's foreign currency denominated monetary assets and liabilities as at September 30, 2025 consist of:

|                          |     | September 30, 2025 (Unaudited) | Rate  | Peso Equivalent | December 31, 2024 (Audited) | Rate  | Peso Equivalent |
|--------------------------|-----|--------------------------------|-------|-----------------|-----------------------------|-------|-----------------|
| Currency                 |     |                                |       |                 |                             |       |                 |
| Cash                     | USD | 10,684,961                     | 58.20 | 621,821,970     | 13,834,168                  | 57.85 | 800,306,619     |
|                          | EUR | 623,021                        | 68.07 | 42,410,124      | 667,371                     | 36.08 | 24,078,746      |
|                          | AUD | 357                            | 38.15 | 13,617          |                             |       |                 |
| Receivables              | USD | 13,454,323                     | 58.20 | 782,987,763     | 17,759,750                  | 57.85 | 1,027,401,538   |
| Financial assets at FVPL |     | -                              |       |                 | -                           |       |                 |

|                                     |     |              |       |               |             |       |               |
|-------------------------------------|-----|--------------|-------|---------------|-------------|-------|---------------|
|                                     |     | 24,762,662   |       | 1,447,233,474 | 32,261,289  |       | 1,851,786,903 |
| Trade payable and other liabilities | USD | (10,321,362) | 58.20 | (600,661,956) | (4,946,656) | 57.85 | (286,164,050) |
|                                     | EUR | (348,028)    | 68.07 | (23,690,883)  | (106,888)   | 36.08 | (3,856,519)   |
|                                     | SGD | (13,018)     | 45.01 | (585,935)     | (24,974)    | 42.69 | (1,066,140)   |
|                                     | AUD | (128,204)    | 38.15 | (4,891,120)   |             |       |               |
|                                     | JPY | (27,430)     | 0.39  | (10,717)      |             |       |               |
|                                     |     | (10,838,042) |       | (629,840,612) | (5,078,518) |       | (291,086,709) |
| Net assets                          |     | 13,924,620   |       | 817,392,862   | 27,182,771  |       | 1,560,700,194 |

Foreign exchange gain, net for the periods ended September 30, 2025 consist of:

|                                         | September 30, 2025<br>(Unaudited) | September 30, 2024<br>Unaudited) |
|-----------------------------------------|-----------------------------------|----------------------------------|
| Realized foreign exchange gain/(loss)   | 32,613,349                        | 53,099,411                       |
| Unrealized foreign exchange gain/(loss) | (24,527,903)                      | 12,731,373                       |
|                                         | 8,085,446                         | 65,830,784                       |

Foreign exchange risk arises when future commercial transactions and assets and liabilities are denominated in a currency that is not the Parent Company's functional currency.

The Company manages its foreign currency exchange risk through minimizing foreign currency denominated transactions. Also, the Company maintains sufficient cash in foreign currency to cover its maturing obligations. A market driven change in foreign currency exchange rate, arising from US Dollar denominated assets (liabilities), as at June 30 would lead to immaterial pre-tax profit and equity movements.

#### 4.2 Price risk

As at September 30, 2025, the Company is exposed to price risk in relation to its investments in debt and equity financial assets amounting to P47,837,351 and P343,066,891 respectively (December 31, 2024 - 2024 - P39,958,426, and P343,066,891, respectively). Components of debt and equity financial assets would increase or decrease as a result of gains or losses on these financial assets measured at fair value at the end of each reporting period. Management monitors such financial assets based on the net asset value of the debt instruments (unit investment trust funds) current market price of the shares. These financial assets are managed on an individual basis, and all buy and sell decisions are approved by management.

The impact of a market driven change in fair value of the debt and equity investments, with all other variables held constant, would have been immaterial.

#### 4.3 Cash flow and fair value interest rate risk

Cash flow interest rate risk is the risk that the future cash flows of financial assets and liabilities will fluctuate because of changes in market interest rates. Fair value interest rate risk is the risk that the value of financial assets and liabilities will fluctuate because of changes in market interest rates.

##### *Cash flow interest rate risk*

The Company's exposure to cash flow interest rate risk pertains to short-term borrowings where the related interests are repriced at periodic intervals based on the prevailing mark-to-market prices, in accordance with the terms of the agreement. The Company's practice is to manage its interest cost by reference to current market rates in borrowings.

The Company's fixed rate borrowings are measured at amortized cost. They are therefore not subject to cash flow interest rate risk as defined in PFRS 7, since neither the carrying amount nor the future cash flows will fluctuate because of a change in market interest rates.

### *Fair value interest rate risk*

Changes in the market interest rates of the Company's financial liabilities with fixed interest rates only affect income if these are measured at their fair value. As such, the Company's financial liabilities with fixed interest rates that are measured at amortized cost are not subject to fair value interest rate risk as defined in PFRS 7.

### **5. Liquidity risk**

Prudent liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, the Company aims to maintain flexibility by keeping credit lines available.

On a regular basis, management monitors forecasts of the Company's liquidity reserve on the basis of expected cash flows. The Company places cash in excess of immediate requirements in banks.

The table below summarizes the maturity profile of the Company's non-derivative financial liabilities based on contractual undiscounted payments:

|                                                | Due and<br>demandable | Within 12 months | Over 12 months | Total          |
|------------------------------------------------|-----------------------|------------------|----------------|----------------|
| <i>September 30, 2025</i>                      |                       |                  |                |                |
| Trade payables and other liabilities           | 149,441,127           | 3,801,392,453    | -              | 3,950,833,580  |
| Due to related parties                         | 478,700,106           | 4,972,814,159    | 1,615,000,000  | 7,066,514,265  |
| Borrowings and future interest payments        | 57,062,553            | 19,473,048,889   | 1,600,000,000  | 21,130,111,442 |
| Bonds Payable and future interest payments     | -                     | 2,073,705,970    | -              | 2,073,705,970  |
| Lease liabilities and future interest payments | -                     | 387,866,991      | 356,808,121    | 744,675,112    |
|                                                | 685,203,787           | 30,708,828,461   | 3,571,808,121  | 34,965,840,368 |
| <i>December 31, 2024</i>                       |                       |                  |                |                |
| Trade payables and other liabilities           | 138,942,721           | 4,215,230,824    | -              | 4,354,173,545  |
| Due to related parties                         | -                     | 39,417,257       | -              | 39,417,257     |
| Borrowings and future interest payments        | 3,812,971,111         | 14,128,721,667   | 1,371,000,000  | 19,312,692,778 |
| Bonds Payable and future interest payments     |                       | 71,924,000       | 1,918,856,368  | 1,990,780,368  |
| Lease liabilities and future interest payments | -                     | 446,736,001      | 430,070,048    | 876,806,049    |
|                                                | 3,951,913,832         | 18,902,029,749   | 3,719,926,416  | 26,573,869,997 |

The Parent Company, together with its related parties entered into surety agreements with local banks and a corporate guarantee with a foreign bank. The borrowings of the Company are covered by surety agreements and corporate guarantee agreements.

The amounts disclosed in the table are the contractual undiscounted cash flows. Balances equal their carrying balances, as the impact of discounting is not significant.

The Company believes that cash generated from its operating activities and current assets are sufficient to meet maturing obligations required to operate the business. The Company would also be able to meet unexpected cash outflows by accessing additional funding sources from local banks and related parties.

The Company expects to settle the above financial obligations in accordance with their maturity date. However, the Group may consider to roll-over short-term loans based on working capital requirements.

### Capital management

The Company's objective when managing capital is to generate the maximum possible returns for its shareholders while taking on a manageable degree of risk ensuring that the Company will continue to expand business and manufacturing facilities.

In order to maintain or adjust the capital structure, the Company reviews its capital structure from time to time to assess the proper financing mix necessary to grow and sustain its operations. As a matter of policy, capital expenditures have been financed from internally-generated cash flow while working capital requirements will be augmented by short-term bank borrowings from time to time.

Earnings in excess of dividend distribution to shareholders have been continuously redeployed and reinvested in the growth of the Company's business. Each instance of expansion of manufacturing capacity and entry into new products and markets undergo a thorough evaluation process to ensure that such investments and marketing programs are in consonance with the Company's core competencies and would be enhancing, rather than diminishing, shareholder value in the long run.

As part of the reforms of the PSE to expand the capital market and improve transparency among listed firms, PSE required a minimum percentage of twenty percent (20%) of the listed companies' issued and outstanding shares, exclusive of any treasury shares, to be held by the public. The Parent Company is compliant with respect to this requirement.

Total capital is equal to total equity (excluding any reserves) as shown in the consolidated statements of financial position.

|              | September 30, 2025<br>(Unaudited) | December 31, 2024<br>(Audited) |
|--------------|-----------------------------------|--------------------------------|
| Total equity | 22,218,169,366                    | 21,789,623,234                 |
| Reserves     | (326,291,291)                     | (326,291,292)                  |
|              | 21,891,878,075                    | 21,463,331,943                 |

There are no changes to the Company's capital management policies as at September 30, 2025 and December 31, 2024.

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## **SIGNATURES**

Pursuant to the requirement of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by undersigned thereunto duly authorized.

### **D&L INDUSTRIES, INC.**

A handwritten signature in black ink, appearing to be 'Alvin D. Lao', written over a horizontal line.

Alvin D. Lao  
President & Chief Executive Officer

A handwritten signature in black ink, appearing to be 'Franco Diego Q. Lao', written over a horizontal line.

Franco Diego Q. Lao  
Chief Financial Officer and Treasurer

November 07, 2025

**ANNEX A**

**D&L Industries, Inc. and Subsidiaries**  
**Unaudited Consolidated Statements of Financial Position**  
**As at September 30, 2025 and December 31, 2024**  
**(All amounts in Philippine Peso)**

|                                                    | 2025                  | 2024                  |
|----------------------------------------------------|-----------------------|-----------------------|
| <b><u>ASSETS</u></b>                               |                       |                       |
| <b>Current assets</b>                              |                       |                       |
| Cash and cash equivalents                          | 3,013,939,889         | 2,837,928,091         |
| Receivables, net                                   | 9,174,872,670         | 8,057,626,201         |
| Due from related parties                           | 281,452,681           | 158,571,168           |
| Inventories, net                                   | 12,226,265,859        | 11,371,805,235        |
| Financial assets @ FVPL                            | 47,837,351            | 39,958,426            |
| Prepayments and other current assets               | 8,402,990,188         | 5,929,734,365         |
| Total current assets                               | 33,147,358,638        | 28,395,623,486        |
| <b>Non-current assets</b>                          |                       |                       |
| Right of use assets                                | 722,199,918           | 936,143,886           |
| Investments in equity securities at fair value thr | 343,066,891           | 343,066,891           |
| Property, plant and equipment, net                 | 12,499,673,234        | 12,724,023,484        |
| Retirement benefit asset                           |                       | 31,539,337            |
| Deferred income tax assets, net                    | 185,053,836           | 189,796,692           |
| Goodwill                                           | 3,367,846,840         | 3,367,846,840         |
| Other non current assets                           | 2,074,536,293         | 2,381,358,589         |
| Total non-current assets                           | 19,192,377,012        | 19,973,775,719        |
| <b>Total assets</b>                                | <b>52,339,735,650</b> | <b>48,369,399,205</b> |
| <b><u>LIABILITIES AND EQUITY</u></b>               |                       |                       |
| <b>Current liabilities</b>                         |                       |                       |
| Trade payables and other liabilities               | 4,170,029,863         | 4,475,493,597         |
| Dividend Payables                                  |                       |                       |
| Lease Liabilities                                  | 292,539,369           | 285,135,275           |
| Due to related parties                             | 45,702,479            | 39,417,257            |
| Loan payable to a related party - current portion  | 2,500,000,000         | 2,050,000,000         |
| Short-term borrowings                              | 19,300,000,000        | 15,800,000,000        |
| Income tax payable                                 | 57,569,221            | 5,961,132             |
| Total current liabilities                          | 26,365,840,932        | 22,656,007,261        |
| <b>Non-current liabilities</b>                     |                       |                       |
| Lease Liabilities - Non-current                    | 396,219,523           | 536,687,322           |
| Loan payable to a related party                    | 1,215,000,000         | 1,249,487,284         |
| Deferred income tax liabilities, net               | -                     | 1,536,595             |
| Retirement benefit obligation                      | 149,484,422           | 145,277,141           |
| Long-term borrowings                               | 1,995,021,407         | 1,990,780,368         |
| Total non-current liabilities                      | 3,755,725,352         | 3,923,768,710         |
| Total liabilities                                  | 30,121,566,284        | 26,579,775,971        |
| <b>Equity</b>                                      |                       |                       |
| Share Capital                                      | 7,142,857,990         | 7,142,857,990         |
| Share Premium                                      | 3,255,166,445         | 3,255,166,445         |
| Reserve for remeasurement on retirement bene       | 84,392,539            | 84,392,539            |
| Fair value reserve on available-for-sale financial | 241,898,752           | 241,898,752           |
| Retained earnings                                  |                       | -                     |
| Appropriated                                       | 500,000,000           | 500,000,000           |
| Unappropriated                                     | 10,993,853,640        | 10,565,307,508        |
| Total equity                                       | 22,218,169,366        | 21,789,623,234        |
| <b>Total liabilities and equity</b>                | <b>52,339,735,650</b> | <b>48,369,399,205</b> |

**ANNEX B**

**D&L Industries, Inc. and Subsidiaries**  
**Unaudited Consolidated Statements of Total Comprehensive Income**  
**For nine months ended September 30, 2025 and 2024**  
**(All amounts in Philippine Peso)**

|                                           | Nine-month period ended Sep 30 |                     | Three-month period ended Sep 30 |                     |
|-------------------------------------------|--------------------------------|---------------------|---------------------------------|---------------------|
|                                           | 2025<br>(Unaudited)            | 2024<br>(Unaudited) | 2025<br>(Unaudited)             | 2024<br>(Unaudited) |
| Revenues                                  |                                |                     |                                 |                     |
| Sales of goods, net                       | 41,223,603,521                 | 29,412,502,991      | 14,661,728,923                  | 10,487,337,331      |
| Service fees                              | 70,270,911                     | 69,895,616          | 24,102,445                      | 20,496,896          |
|                                           | 41,293,874,432                 | 29,482,398,607      | 14,685,831,368                  | 10,507,834,227      |
| Cost of sales and services                |                                |                     |                                 |                     |
| Cost of sales                             | (35,868,763,206)               | (24,642,453,954)    | (13,000,625,278)                | (8,793,032,080)     |
| Cost of services                          | (84,643,155)                   | (86,646,776)        | (26,942,426)                    | (26,114,153)        |
|                                           | (35,953,406,361)               | (24,729,100,730)    | (13,027,567,704)                | (8,819,146,233)     |
| Gross profit                              | 5,340,468,071                  | 4,753,297,877       | 1,658,263,664                   | 1,688,687,994       |
| Selling and marketing expenses            | (1,317,234,840)                | (1,073,583,335)     | (432,944,362)                   | (398,073,275)       |
| General and administrative expenses       | (832,639,342)                  | (721,742,179)       | (288,221,677)                   | (271,461,016)       |
| Other income, net                         | 2,062,073                      | 42,914,402          | 31,206,547                      | (80,475,871)        |
| Operating profit                          | 3,192,655,962                  | 3,000,886,765       | 968,304,172                     | 938,677,832         |
| Finance costs                             | (961,778,372)                  | (652,472,463)       | (345,669,263)                   | (225,172,104)       |
| Profit before income tax expense          | 2,230,877,590                  | 2,348,414,302       | 622,634,909                     | 713,505,728         |
| Provision for income tax                  | (280,902,706)                  | (538,871,937)       | (68,215,612)                    | (220,315,148)       |
| Profit for the period                     | 1,949,974,884                  | 1,809,542,365       | 554,419,297                     | 493,190,580         |
| Other comprehensive income                | -                              | -                   | -                               | -                   |
| Total comprehensive income for the period | 1,949,974,884                  | 1,809,542,365       | 554,419,297                     | 493,190,580         |
| Profit for the period attributable to     |                                |                     |                                 |                     |
| Owners of the parent Company              | 1,949,974,884                  | 1,809,542,365       | 554,419,297                     | 493,190,580         |
| Earning per share                         |                                |                     |                                 |                     |
| Basic and diluted                         | 0.27                           | 0.25                | 0.08                            | 0.07                |

## ANNEX C

**D&L Industries, Inc. and Subsidiaries**  
**Unaudited Consolidated Statements of Cash Flows**  
**For nine months ended September 30, 2025 and 2024**  
**(All amounts in Philippine Peso)**

|                                                             | Nine-month period ended Sep 30 |                     | Three-month period ended Sep 30 |                     |
|-------------------------------------------------------------|--------------------------------|---------------------|---------------------------------|---------------------|
|                                                             | 2025<br>(Unaudited)            | 2024<br>(Unaudited) | 2025<br>(Unaudited)             | 2024<br>(Unaudited) |
| <b>Cash flows from operating activities</b>                 |                                |                     |                                 |                     |
| Profit before income tax expense                            | 2,230,877,590                  | 2,348,414,302       | 622,634,909                     | 713,505,728         |
| Adjustments for:                                            |                                |                     |                                 |                     |
| Depreciation and amortization                               | 655,048,904                    | 556,389,470         | 223,115,845                     | 216,211,630         |
| Depreciation of ROU Asset                                   | 389,618,950                    | 279,920,239         | 179,922,936                     | 93,306,746          |
| Interest expense on lease                                   | 36,031,513                     | 18,974,060          | 18,998,370                      | 7,482,782           |
| Unrealized foreign exchange (gain) loss, net                | 24,527,903                     | (6,517,824)         | 284,475                         | 62,452,528          |
| Provision for (reversal of) inventory obsolescence          | 15,750,000                     |                     | 5,250,000                       | -                   |
| Loss (Gain) on sale of property and equipment               | 1,014,503                      | (2,459,069)         | (649,095)                       | (1,587,032)         |
| Loss on direct write-off of receivables                     | 28,558,768                     | 11,362,077          | 7,520,488                       | 6,220,552           |
| Input VAT directly written-off                              | 8,571,289                      |                     | 2,857,097                       | -                   |
| Unrealized gain on FV changes                               | (16,059,840)                   | (113,003,828)       | (504,322)                       | (1,829,517)         |
| Dividend income                                             | (166,565)                      | (151,672)           | (88,571)                        | (80,778)            |
| Interest income                                             | (4,181,143)                    | 1,673,620           | (643,757)                       | 4,310,440           |
| Interest expense                                            | 925,746,859                    | 633,498,403         | 326,670,893                     | 217,689,322         |
| Operating income before working capital changes             | 4,295,338,731                  | 3,728,099,778       | 1,385,369,268                   | 1,317,682,401       |
| (Increase) decrease in:                                     |                                |                     |                                 |                     |
| Receivables                                                 | (1,147,693,879)                | (826,631,148)       | (99,581,289)                    | 955,217,586         |
| Due from related parties                                    | (122,881,513)                  | (577,197,421)       | 205,415,114                     | (316,016,822)       |
| Inventories                                                 | (870,210,624)                  | (1,053,374,239)     | 782,229,851                     | (967,663,654)       |
| Prepayments and other current assets                        | (2,481,827,112)                | (531,019,398)       | 225,354,695                     | (119,302,924)       |
| Retirement benefit assets                                   | 31,539,337                     | 26,897,429          | -                               | -                   |
| Other non-current assets                                    | 306,822,296                    | (656,373,541)       | (329,199,455)                   | (1,009,927,930)     |
| (Decrease) increase in:                                     |                                |                     |                                 |                     |
| Trade payables and other liabilities                        | (294,682,614)                  | 154,763,741         | 123,185,633                     | (479,830,337)       |
| Retirement Benefit obligations                              | -                              |                     | -                               | -                   |
| Due to related parties                                      | (28,202,062)                   | 3,065,040,468       | (13,451,094)                    | 764,802,412         |
| Cash generated from operations                              | (311,797,440)                  | 3,330,205,669       | 2,279,322,723                   | 144,960,732         |
| Income taxes paid                                           | (230,964,263)                  | (451,664,869)       | (89,196,806)                    | (138,003,960)       |
| Interest received                                           | 4,181,143                      | (1,673,620)         | 643,757                         | (4,310,440)         |
| Net cash from operating activities                          | (538,580,560)                  | 2,876,867,180       | 2,190,769,674                   | 2,646,332           |
| <b>Cash flows from investing activities</b>                 |                                |                     |                                 |                     |
| Dividend received                                           | 166,565                        | 151,672             | 88,571                          | 80,778              |
| Acquisition of property and equipment                       | (430,698,655)                  | (706,286,606)       | (256,623,461)                   | (183,604,784)       |
| Investment in financial assets at fair value through profit | 8,180,916                      | 2,545,475           | (42,127)                        | (48,631)            |
| Proceeds from disposal of property and equipment            | (1,014,503)                    | 2,459,069           | 649,095                         | 1,587,032           |
| Movement in available for sale securities                   | -                              |                     | -                               | -                   |
| Net cash from (used in) investing activities                | (423,365,677)                  | (701,130,390)       | (255,927,922)                   | (181,985,605)       |
| <b>Cash flows from financing activities</b>                 |                                |                     |                                 |                     |
| Availment / payment of borrowings, net                      | 3,950,000,000                  | (90,809,865)        | (600,000,000)                   | 702,677,441         |
| Proceeds from loans from related party                      |                                |                     | -                               | -                   |
| Payments of loan to related party                           |                                |                     | -                               | -                   |
| Proceeds from Bonds                                         |                                |                     | -                               | -                   |
| Lease payments                                              | (308,738,687)                  | (273,450,310)       | (166,407,311)                   | (92,482,444)        |
| Interest paid from lease liabilities                        | (36,031,513)                   | (18,974,060)        | (18,998,370)                    | (7,482,782)         |
| Dividends paid                                              | (1,521,428,752)                | (1,492,857,320)     | (1,521,428,752)                 | (1,492,857,320)     |
| Interest paid                                               | (925,746,859)                  | (633,498,403)       | (326,670,893)                   | (217,689,322)       |
| Net cash used in financing activities                       | 1,158,054,189                  | (2,509,589,958)     | (2,633,505,326)                 | (1,107,834,427)     |
| Net increase (decrease) in cash and cash equivalents        | 196,107,952                    | (333,853,168)       | (698,663,574)                   | (1,287,173,700)     |
| Cash and cash equivalents, beginning                        | 2,837,928,091                  | 2,844,171,390       | 3,709,203,838                   | 3,825,375,027       |
| Effect of foreign exchange rate changes                     | (20,096,154)                   | 8,373,024           | 3,399,625                       | (19,510,081)        |
| Cash and cash equivalents, ending                           | 3,013,939,889                  | 2,518,691,246       | 3,013,939,889                   | 2,518,691,246       |



## ANNEX D

**D&L Industries, Inc. and Subsidiaries**  
**Unaudited Consolidated Statements of Changes in Equity**  
**For nine months ended September 30, 2025 and 2024**

|                                         | Share Capital | Share premium | Reserve for<br>remeasurement<br>on retirement<br>benefit | Fair value<br>reserve on<br>available-for-<br>sale financial<br>assets | Retained earnings |                 | Total equity    |
|-----------------------------------------|---------------|---------------|----------------------------------------------------------|------------------------------------------------------------------------|-------------------|-----------------|-----------------|
|                                         |               |               |                                                          |                                                                        | Appropriated      | Unappropriated  |                 |
| Balances at January 1, 2024             | 7,142,857,990 | 3,255,166,445 | 73,847,049                                               | 179,631,534                                                            | 500,000,000       | 9,716,022,548   | 20,867,525,566  |
| Comprehensive income                    |               |               |                                                          |                                                                        |                   |                 |                 |
| Profit for the year                     |               |               |                                                          |                                                                        |                   | 1,809,542,365   | 1,809,542,365   |
| Other comprehensive income for the year |               |               |                                                          |                                                                        |                   |                 | -               |
| Total comprehensive income for the year | -             | -             | -                                                        | -                                                                      | -                 | 1,809,542,365   | 1,809,542,365   |
| Transactions with owners                |               |               |                                                          |                                                                        |                   |                 |                 |
| Declaration of cash dividend            |               |               |                                                          |                                                                        |                   | (1,492,857,320) | (1,492,857,320) |
| Appropriation of retained earnings      |               |               |                                                          |                                                                        |                   |                 | -               |
| Total transactions with owners          | -             | -             | -                                                        | -                                                                      | -                 | (1,492,857,320) | (1,492,857,320) |
| Balances at September 30, 2024          | 7,142,857,990 | 3,255,166,445 | 73,847,049                                               | 179,631,534                                                            | 500,000,000       | 10,032,707,593  | 21,184,210,611  |

  

|                                         | Share Capital | Share premium | Reserve for<br>retirement<br>benefit | Fair value<br>assets | Retained earnings |                 | Total equity    |
|-----------------------------------------|---------------|---------------|--------------------------------------|----------------------|-------------------|-----------------|-----------------|
|                                         | (Note 14)     |               |                                      |                      | (Note 14)         | Unappropriated  |                 |
| Balances at January 1, 2025             | 7,142,857,990 | 3,255,166,445 | 84,392,539                           | 241,898,752          | 500,000,000       | 10,565,307,508  | 21,789,623,234  |
| Comprehensive income                    |               |               |                                      |                      |                   |                 |                 |
| Profit for the year                     |               |               |                                      |                      |                   | 1,949,974,884   | 1,949,974,884   |
| Other comprehensive income for the year |               |               |                                      |                      |                   |                 | -               |
| Total comprehensive income for the year | -             | -             | -                                    | -                    | -                 | 1,949,974,884   | 1,949,974,884   |
| Transactions with owners                |               |               |                                      |                      |                   |                 |                 |
| Declaration of cash dividend            |               |               |                                      |                      |                   | (1,521,428,753) | (1,521,428,753) |
| Total transactions with owners          | -             | -             | -                                    | -                    | -                 | (1,521,428,753) | (1,521,428,753) |
| Balances at September 30, 2025          | 7,142,857,990 | 3,255,166,445 | 84,392,539                           | 241,898,752          | 500,000,000       | 10,993,853,639  | 22,218,169,366  |

# ANNEX E

The following table presents the segment information about the Group's business segments for the nine-month period ended September 30, 2025:

|                                               | Food ingredients | Colorant &<br>Plastic Additives | Oleochemicals,<br>resin and powder<br>coatings | Aerosols      | Management and<br>administrative | Eliminations    | Total          |
|-----------------------------------------------|------------------|---------------------------------|------------------------------------------------|---------------|----------------------------------|-----------------|----------------|
| Nine-month period ended<br>September 30, 2025 |                  |                                 |                                                |               |                                  |                 |                |
| External revenue                              | 24,111,274,272   | 2,705,942,465                   | 13,290,088,618                                 | 1,116,298,165 | 70,270,912                       |                 | 41,293,874,432 |
| Intersegment sales                            | 2,698,644,925    | 39,072,583                      | 82,502,355                                     | 17,429,854    | 395,538,701                      | (3,233,188,418) | -              |
| Total revenues                                | 26,809,919,197   | 2,745,015,048                   | 13,372,590,973                                 | 1,133,728,019 | 465,809,613                      | (3,233,188,418) | 41,293,874,432 |
| Segment result                                | 1,064,360,711    | 768,593,127                     | 1,438,034,695                                  | 203,181,603   | (309,174,040)                    | 25,597,793      | 3,190,593,889  |
| General corporate income/(loss)               | (26,547,071)     | 8,258,092                       | 17,292,881                                     | (378,213)     | 87,734,908                       | (84,298,524)    | 2,062,073      |
| Finance costs                                 | (706,840,865)    | (80)                            | (208,765,902)                                  | (43,805,311)  | (61,066,945)                     | 58,700,731      | (961,778,372)  |
| Income tax expense                            | (92,473,996)     | (35,453,476)                    | (142,906,290)                                  | (9,754,755)   | (314,189)                        |                 | (280,902,706)  |
| Profit for the period                         | 238,498,779      | 741,397,663                     | 1,103,655,384                                  | 149,243,324   | (282,820,266)                    | -               | 1,949,974,884  |
| Nine-month period ended<br>September 30, 2024 |                  |                                 |                                                |               |                                  |                 |                |
| External revenue                              | 19,055,754,778   | 2,642,370,105                   | 6,904,547,649                                  | 809,830,459   | 69,895,616                       | -               | 29,482,398,607 |
| Intersegment sales                            | 42,495,140       | 15,832,392                      | 133,249,652                                    | 46,289,370    | 2,448,024,405                    | (2,685,890,959) | -              |
| Total revenues                                | 19,098,249,918   | 2,658,202,497                   | 7,037,797,301                                  | 856,119,829   | 2,517,920,021                    | (2,685,890,959) | 29,482,398,607 |
| Segment result                                | 1,530,305,062    | 772,085,731                     | 847,207,293                                    | 122,176,351   | (327,277,974)                    | 13,475,899      | 2,957,972,363  |
| General corporate income                      | (405,873)        | 5,482,798                       | 30,316,698                                     | 4,910,109     | 155,869,720                      | (153,259,051)   | 42,914,402     |
| Finance costs                                 | (480,087,119)    | (662,741)                       | (184,663,700)                                  | (627,587)     | (126,214,468)                    | 139,783,152     | (652,472,463)  |
| Income tax expense                            | (357,311,806)    | (46,656,234)                    | (106,455,742)                                  | (26,942,197)  | (1,505,958)                      |                 | (538,871,937)  |
| Profit for the period                         | 692,500,265      | 730,249,555                     | 586,404,550                                    | 99,516,676    | (299,128,680)                    | -               | 1,809,542,365  |

# ANNEX F

Other segment information are as follows:

|                                            | Food ingredients | Colorant &<br>Plastic Additives | Oleochemicals,<br>resin and powder<br>coatings | Aerosols      | Management and<br>administrative | Total          |
|--------------------------------------------|------------------|---------------------------------|------------------------------------------------|---------------|----------------------------------|----------------|
| as of September 30, 2025                   |                  |                                 |                                                |               |                                  |                |
| Segment assets                             | 29,009,908,116   | 957,786,049                     | 19,984,255,215                                 | 1,103,373,103 | 1,284,413,167                    | 52,339,735,650 |
| segment liabilities                        | 21,397,264,996   | (928,299,656)                   | 7,467,283,741                                  | 83,908,579    | 2,101,408,624                    | 30,121,566,284 |
| Nine-month period ended September 30, 2025 |                  |                                 |                                                |               |                                  |                |
| Capital expenditures                       | 350,762,910      | 42,975,591                      | 153,656,934                                    | 2,645,102     | 18,072,286                       | 568,112,823    |
| Depreciation and Amortization              | 558,869,318      | 31,833,584                      | 366,788,178                                    | 25,777,359    | 61,399,413                       | 1,044,667,852  |
| as of December 31, 2024                    |                  |                                 |                                                |               |                                  |                |
| Segment assets                             | 25,563,003,695   | 2,653,565,733                   | 17,679,919,597                                 | 636,560,041   | 1,836,785,461                    | 48,369,834,527 |
| segment liabilities                        | 17,661,532,211   | 331,405,669                     | 6,347,955,992                                  | 90,553,640    | 2,149,060,107                    | 26,580,507,619 |
| Nine-month period ended September 30, 2024 |                  |                                 |                                                |               |                                  |                |
| Capital expenditures                       | 411,485,735      | 18,355,964                      | 345,573,602                                    | 1,839,736     | 19,547,429                       | 796,802,466    |
| Depreciation and Amortization              | 460,767,455      | 30,949,442                      | 295,919,229                                    | 19,141,903    | 29,531,680                       | 836,309,709    |

# ANNEX G

Aging of receivables:

| September 30, 2025                      | Low Risk      | Moderate Risk | Impaired | Total         |
|-----------------------------------------|---------------|---------------|----------|---------------|
| Expected loss rate                      | 1.56%         | 1.30%         |          | 1.50%         |
| Gross carrying amount-trade receivables | 7,073,238,649 | 2,283,035,791 |          | 9,356,274,440 |
| Loss allowance                          | (110,455,405) | (29,572,844)  |          | (140,028,249) |
| Net Receivables                         | 6,962,783,244 | 2,253,462,947 | -        | 9,216,246,191 |

  

| December 31, 2024                       | Low Risk      | Moderate Risk | Impaired    | Total         |
|-----------------------------------------|---------------|---------------|-------------|---------------|
| Expected loss rate                      | 1.57%         | 7.54%         | 20.86%      | 2.05%         |
| Gross carrying amount-trade receivables | 7,625,704,392 | 563,908,567   | 31,890,901  | 8,221,503,860 |
| Loss allowance                          | (119,672,080) | (42,501,351)  | (6,652,958) | (168,826,389) |
| Net Receivables                         | 7,506,032,312 | 521,407,216   | 25,237,943  | 8,047,370,980 |